

FEDERAL MARITIME COMMISSION
WASHINGTON, D.C.

DOCKET NO. 15-11

IGOR OVCHINNIKOV, et al.

v.

MICHAEL HITRINOV, et al.

Consolidated with

DOCKET NO. 1953(I)

KAIRAT NURGAZINOV, et al.

v.

MICHAEL HITRINOV, et al.

RESPONDENTS' RESPONSE TO ORDER TO SUPPLEMENT

Respondents submit this document in response to the Federal Maritime Commission's May 11, 2022 *Order Requiring the Parties to Supplement the Record*.

1. Status of Exceptions/Motions. Respondents are not aware of any motions that remain pending before the Commission. As to Exceptions, there are two sets of Exceptions that remain pending, which we address in turn below.

a. Complainants' Exceptions to the Initial Decision. Complainants have not, to Respondents' knowledge, withdrawn their Exceptions, so they remain pending.

b. Respondents' Counsel's Exceptions to the Presiding Officer's Decision not to Consider Disciplinary Action. These Exceptions have not been and are not now withdrawn, but it is up to the Commission whether or not to address them. A brief explanation is warranted.

Attorneys practicing before the FMC are required by the FMC Rules to comply with the ethical obligations and standards of the American Bar Association's Model Rules of Professional Conduct ("Model Rules"). 46 C.F.R. 502.26. Rule 8.3 of the Model Rules requires lawyers to report violations of the Model Rules under described circumstances:

"A lawyer who knows that another lawyer has committed a violation of the Rules of Professional Conduct that raises a substantial question as to that lawyer's honesty, trustworthiness or fitness as a lawyer in other respects, shall inform the appropriate professional authority."

During the course of the proceeding, undersigned counsel reached the conclusion that he was required by Model Rule 8.3 (and thus, the FMC Rules) to report certain conduct by Complainants' counsel. As the matter was pending at the FMC, the Commission appeared to be the "appropriate professional authority." The FMC Rules, however, provide no specific procedure for informing the Commission. Accordingly, and upon consultation with the Secretary about the most appropriate procedural steps to follow, the undersigned filed a motion with the Presiding Officer, and when the Presiding Officer held that he was not the appropriate decider, filed Exceptions with the Commission in order to appropriately inform the Commission. *See, Docket Nos. 15-11 and 1953(I)*, Respondents' Exceptions (October 16, 2016); and *Order of the Presiding Officer* (September 16, 2016).

The undersigned's ethical obligation was only to "inform" the Commission, which obligation has been satisfied. It was not and is not the undersigned's obligation or intention to prosecute the matter once the Commission had been informed. Thus, the question of whether to

act, and if so what action to take, is entirely up to the Commission, just as it would be had the matter been raised before a state ethics body if the proceeding had been in state court.

2. **Relief Sought.**¹

a. **Substantive Proceeding.** Respondents ask that the Commission adopt or affirm the Initial Decision and dismiss the Complaint. Respondents reserve the right to seek attorney's fees, by separate petition at the appropriate time, in accordance with the FMC Rules.

b. **Ethical Exceptions.** As explained above, undersigned counsel has discharged his ethical obligation to inform the Commission and no longer has any role in the matter. It is up to the Commission to decide whether to consider the Ethical Exceptions, whether to take any disciplinary action, and if so, what action.

3. **Foreign Language Documents**

Respondents have identified the following documents in their submissions that either contain untranslated foreign language or have translations that were not certified.

a. **Document 49, pp. 313-328.** This is a response by Finnish Customs to a request for information concerning an inspection of the CarCont warehouse conducted by Finnish Customs. The submission includes an English translation, but the translation does not contain any certification. A certified version is attached as **Exhibit 1**.

¹ The Order asks in particular about relief sought in Document 73. Respondent believes that this is a typographical error, as Document 73 appears to be an Order of the Presiding Officer. Accordingly, Respondent states its request for relief on the substantive issues generally.

b. Document 79, Attachments A-D. These are bills of sale from G-Auto to the Complainants for the four vehicles at issue. They are all translated but not certified. Certified versions are attached as **Exhibit 2.**²

4. **New Precedents.** The only new precedents of which Respondents are aware reflect what is believed to be the final chapter in the federal litigation between Empire United Lines Co. and Mr. Kapustin (and his associated entities, collectively Global Enterprise) in the U.S. District Court for the Eastern District of New York. There, the court issued a final judgment in the amount of \$2,436,050 (plus interest) in favor of Empire United Lines Co. and Michael Hitrinov with respects to their claims against Mr. Kapustin, Effect Auto, Global Auto, G Auto, and SK Import, such judgment running against Mr. Kapustin personally and against each of his companies. The court's decision and the recommendation of the magistrate may be found at 2022 U.S. Dist. Lexis 34895 (E.D.N.Y. February 28, 2022), and 2021 U.S. Dist. Lexis 158229 (Magistrate E.D.N.Y. August 20, 2021), respectively.

Respectfully submitted,

/s/ *Eric C. Jeffrey*

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² Other versions of these bills of sale may be found in other submissions by Respondents. References to such bills of sale shall be deemed to refer to the versions attached in Exhibit 2. Such documents may also be found in Complainants' various submissions – sometimes translated and certified, sometimes not.

CERTIFICATE OF SERVICE

I certify that on the 11th day of July 2022, a true and correct copy of the foregoing document was served by email on all counsel of record in accordance with 46 CFR Part 502 and the Commission's Order of May 12, 2020.

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